

Student Loan Reality Check

FILL IN TOGETHER

Turns a borrowing figure into a monthly payment and a starting salary, so the decision is made with the real number in view rather than a total that feels abstract.

When: Before signing anything

What we are actually borrowing

Loan	Whose name	Amount per year	Interest rate	Total over 4 years

What that means after graduation

Use the federal Loan Simulator at studentaid.gov to fill these in. It is free and takes ten minutes.

Total borrowed across four years

Estimated monthly payment on a standard 10-year plan

Typical starting salary in the field my student wants

That monthly payment as a share of that monthly take-home pay

The questions worth arguing about now rather than later

- ☐ Whose name is on each loan, and who is actually expected to repay it?
- ☐ What happens to the parent loan if the parent retires or loses work?
- ☐ Would a cheaper school leave our student in a materially better position?
- ☐ Have we compared this against two years at community college first?

WORTH KNOWING

- ◆ Federal loans carry protections — income-driven repayment, forbearance, forgiveness. Private loans generally do not.
- ◆ Parent PLUS loans belong to the parent. They do not transfer to the student, ever.
- ◆ A degree from a cheaper school and no debt is a real option, not a consolation prize.

